WHO DO I TARGET FOR MY CAMPAIGN?

How to find out target for your campaign – data driven way

Questions to answer

Campaign results are IN

Was there any bias in choosing a treatment group?

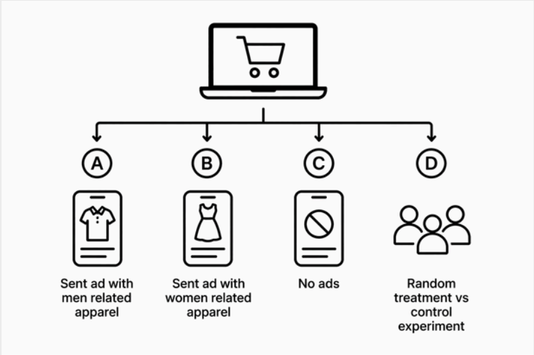
What is overall uplift?

Which segment responded best?

Introduction

Description

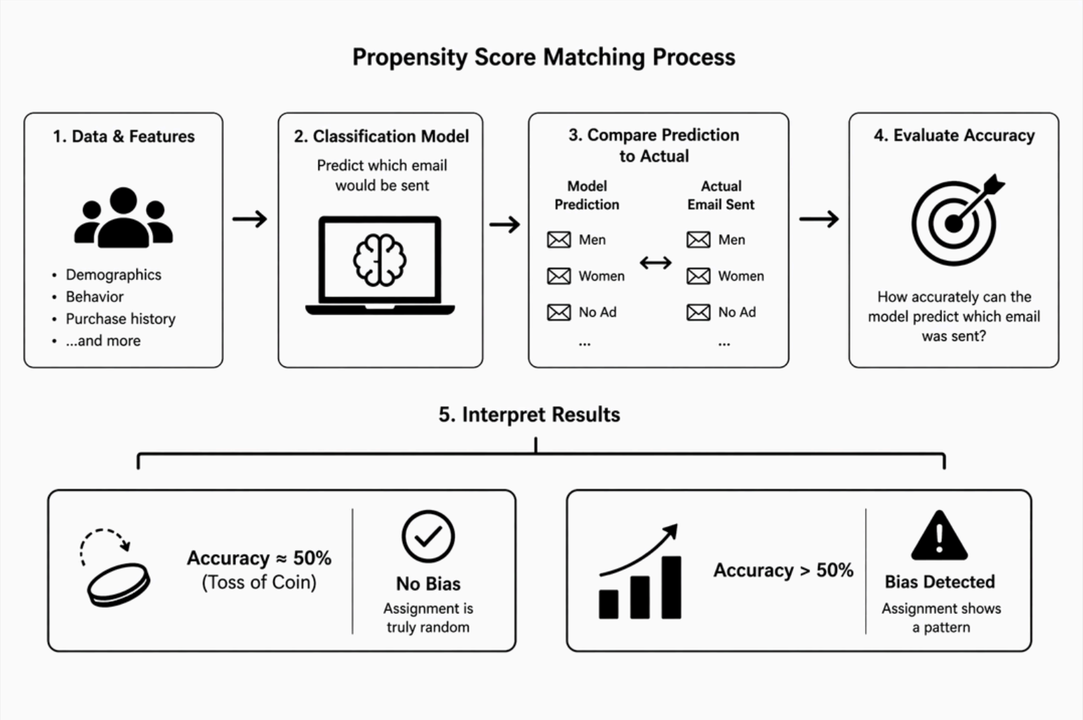
Online shop, just run a random treatment vs control experiment, a third where sent ad with men related apparel, another third sent an ad with women related apparel and final one, no ads.



Data available

Recency - how many months ago was last visit
history - how much did they spend in the last 12 months
Mens - purchased mens merchandise last 12 months
Womens - purchased womens merchandise last 12 months
Zip_Code - Urban, SubUrban, Rural
Newbie - New customer in last 12 months
Channel - Web, Phone or Multichannel
Segment - type of ad sent: Mens email, Womens email, no email
Visit - Customer visited store two weeks following ad
Conversion - Did customer perchase merchandise two weeks following ad
Spend Category- How much did they spend two weeks following ad

Was there any hidden bias in choosing emails?



Propensity score matching was used to identify any hidden biases that could skew the results.

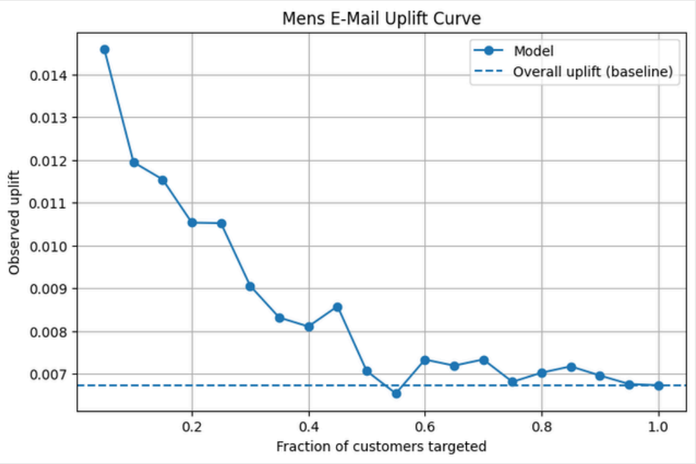
It is done by running a classification model that tries to predict which type of email will be sent to the person and comparing to the actual result.

If the accuracy of the prediction is close to 50% (toss of coin) it means the original assignment was truly random. Any higher accuracy would mean there was a bias in assigning values and model could see the pattern

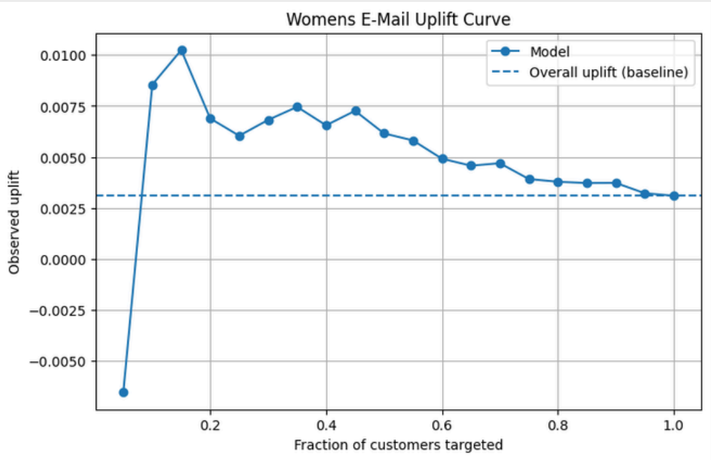
There where no bias in the group assignment. The accuracy of prediction was 0.49, which is close to toss of the coin result

Uplift curves - help to design targeted ads

Men's campaign shows strong early lift — targeting the top 20% delivers ~110–150 conversions per 10,000 customers, compared to fewer than 70 at baseline. However, performance declines rapidly beyond the top 30%, approaching baseline levels.



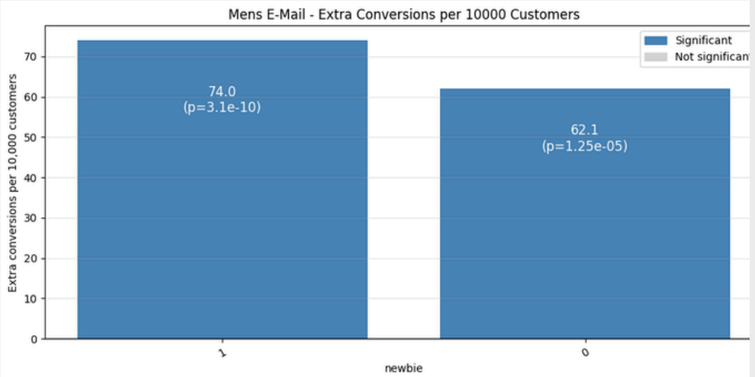
Women's campaign shows more stable uplift — targeting the top 20% delivers ~90–100 conversions per 10,000 customers, compared to ~30 baseline, with performance remaining above baseline across a much larger portion of the audience.



mens-email: Best responders are mid-to-high value, newer suburban customers

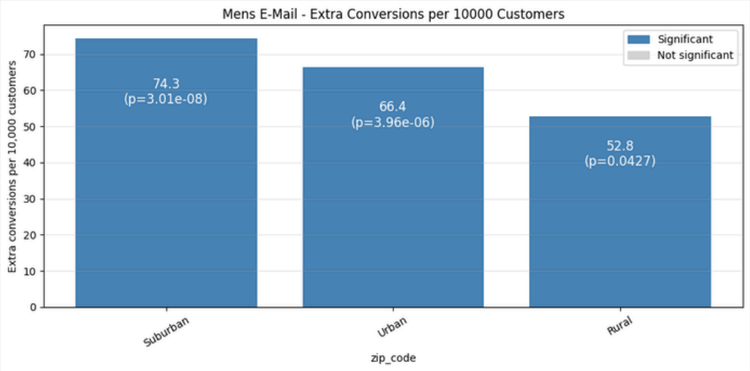
New customer:
Prioritise new customers — they deliver the highest uplift from the campaign

- Increase budget allocation to newbies
- Consider onboarding-style messaging



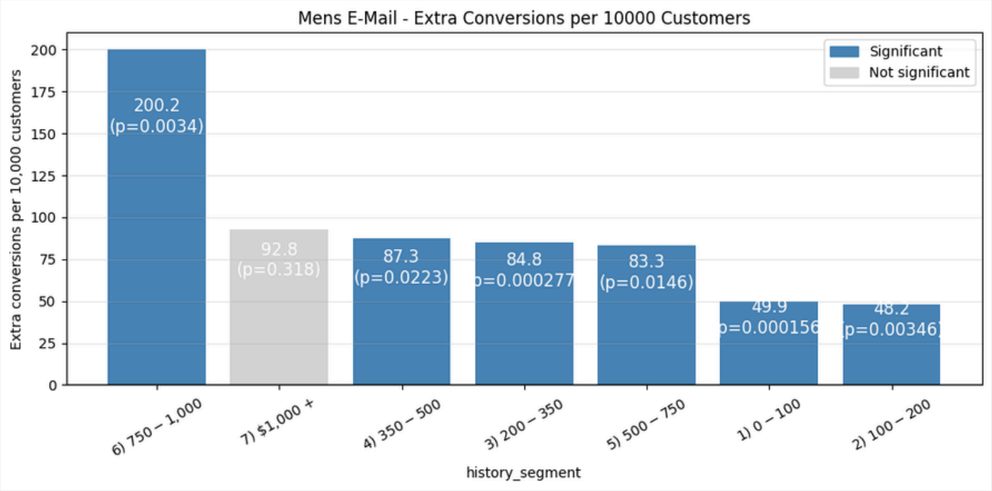
Geographical Region:

- Focus targeting on Suburban first
- Urban = secondary
- Rural = question ROI before spending more



Spending category:

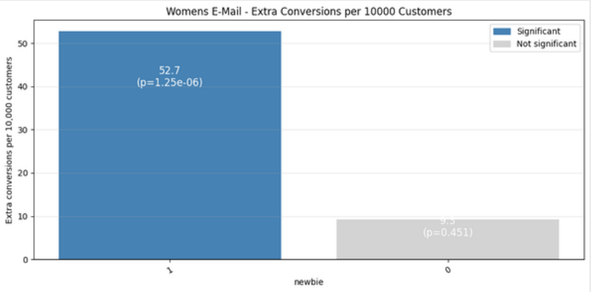
- Primary target: $750–1000 segment
- Secondary: $200–750
- Reduce spend on:
  - <$200 (low response)
  - $1000+ (no measurable impact)



women-email highly selective, effective for new, mid-value urban customers, but ineffective or even negative for some segments.

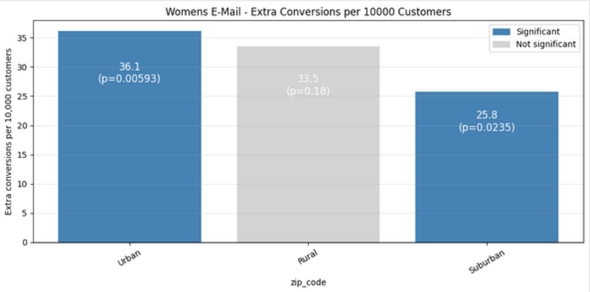
New customer:

- Focus almost entirely on new customers
- Stop spending on existing customers (waste of budget)



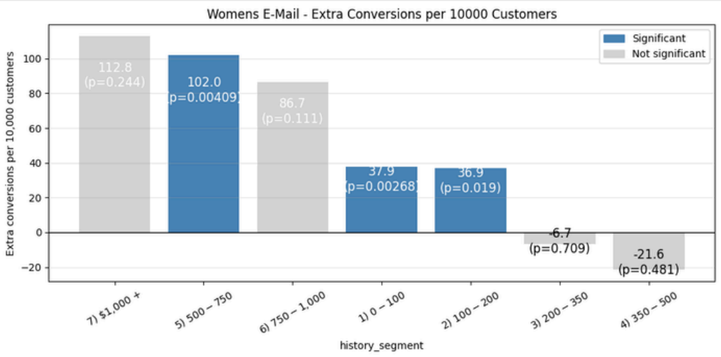
Geographical Region:

- Prioritise Urban
- Suburban = secondary
- Rural = test further before investing



Spending category:

- Primary: 500–750
- Secondary: 0–200
- Avoid / reconsider:
  - 200–350
  - 350–500
- (possible negative impact)
- High spenders:
- Inconclusive → need more data



Conlusion: who to target

Send men's merch ads to high spenders ($750-$1000 range)

Send women's merch ads to **new customers**, **mid spenders** (**$500 - $750**) who are preferably **urban**